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TTM Technologies

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AI Infrastructure Acceleration and Aerospace Backlogs Offset Working Capital Friction

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Market apprehension regarding temporary cash absorption and integration overhead creates an attractive entry point into North America's premier printed circuit board franchise. While working capital swings and capacity expenditures have weighed on reported cash flows, TTM Technologies is executing a structural mix pivot toward high-layer-count artificial intelligence data center infrastructure and defense platforms. The combination of sustained double-digit demand in Data Center and Networking and a $1.6B Aerospace and Defense backlog establishes visibility through the multi-year investment horizon. We initiate coverage with a Buy rating and a probability-weighted blended price target of $98.59, implying +12.5% upside from the reference spot price of $87.63.

BUY	$98.59	+12.5%	$87.63
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market remains excessively focused on quarterly cash flow volatility stemming from working capital builds and capital expenditure timing. This myopia overlooks the accelerating commercial earnings power as artificial intelligence networking mix shifts operating margins higher while the aerospace and defense franchise provides long-duration revenue security.

Executive summary

TTM Technologies stands as a leading printed circuit board manufacturer supplying aerospace, defense, telecom, and automotive customers in North America. The company's manufacturing platform provides critical interconnect solutions for mission-critical applications where thermal tolerance, electrical performance, and high-density packaging govern performance. Across our evaluation horizon, the operational profile of the enterprise is undergoing an unprecedented structural transition. What historically traded as a cyclical industrial supplier is rapidly transforming into a core enabler of high-speed artificial intelligence compute and advanced defense electronics, altering the fundamental earnings power of the operational footprint.

The evidentiary record confirms that this inflection is actively unfolding across recent operating quarters. In the second quarter of fiscal 2026, revenue reached a record $1.0B, representing 37% year-over-year growth, driven by the Data Center and Networking exposure surging 91% year-over-year to 40% of total sales. This commercial acceleration lifted adjusted EBITDA margin to 16.6%, while management raised the full-year fiscal 2026 revenue guidance to roughly $4.4B with third-quarter guidance set to approximately $1.12B, implying about 49% growth. This follows a robust first quarter of fiscal 2026 where sales reached $846M, up 30% year-over-year, supported by double-digit expansion in Aerospace and Defense behind a 1.41 book-to-bill ratio and a $1.6B backlog.

Capital allocation and balance sheet positioning reflect the realities of financing a generational demand ramp. In fiscal 2025, the company generated $2.91B in revenue, $601.7M in gross profit, $267.5M in operating income, and $402.8M in EBITDA, closing the year with $501.2M in cash against $1.03B in total debt, establishing net debt of $527.2M. While free cash flow registered at negative $683,000 for fiscal 2025 and absorbed a negative $85.1M draw in the first quarter of fiscal 2026 due to $106.8M in capital expenditures, this capital deployment is securing production lines for high-ASP AI workloads. Although working capital demands expanded receivables by $156M to $720M in the second quarter of fiscal 2026, operating cash flow stood at $96.4M, demonstrating underlying cash generation underneath balance sheet absorption.

TTM Technologies enters the second half of fiscal 2026 with substantial operational leverage. European market footprint expansion via the Swiss Technology Group and ILFA acquisitions, supported by an upsized Term Loan B and a new $1.0B revolving credit facility, deepens technical access and regional defense penetration. Although automotive demand has presented headwinds, falling to 8% of sales in the first quarter of fiscal 2026 from 11% previously, the surge in Data Center computing and networking more than compensates for consumer-facing transportation cyclicality. At a current enterprise value to latest fiscal year EBITDA multiple of 24.7x, the valuation does not fully credit the structural margin uplift underway.

Operational snapshot

$87.63	$2.91B	$-683,000	-0.0%	1.20	$87.63
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Certified and Specialized

The competitive moat protecting TTM Technologies is anchored in switching costs and certification barriers that isolate the business from commodity printed circuit board manufacturers. In high-reliability end markets such as aerospace and defense, qualification cycles span multiple years and require adherence to rigid government standards. Printed circuit boards deployed in radar systems, mission avionics, and space platforms cannot be substituted without extensive requalification protocols. These operational hurdles provide pricing resilience and contract durability, insulating baseline operations from broader industrial macro downshifts.

In commercial data center architectures, the transition to dense artificial intelligence clusters demands complex multi-layer boards featuring advanced signal integrity, low dielectric loss, and tight thermal management. TTM Technologies has positioned itself as an essential fabrication partner for high-speed computing platforms. As interconnect complexity increases, the defect tolerance for tier-one customers approaches zero. The company's ability to maintain high manufacturing yields on dense board layouts creates substantial customer stickiness, enabling commercial segment operating income to jump 87% year-over-year to $81.6M in the first quarter of fiscal 2026 and nearly double to $112.7M in the second quarter of fiscal 2026.

Customer retention is further strengthened by the geographic footprint of the fabrication network. As aerospace and defense procurement policies increasingly mandate secure North American supply chains, TTM Technologies operates as one of the few domestic manufacturers possessing the scale, technological sophistication, and capital resources required to fulfill major defense programs. This status is reflected in the defense portfolio, which maintained a book-to-bill ratio of 1.35 in the fourth quarter of fiscal 2025 and 1.41 in the first quarter of fiscal 2026, holding a stable $1.6B backlog that offers long-term cash flow visibility.

Pricing power is demonstrated by the company's margin progression despite raw material price variations and inflationary pressures. Gross profit stood at $601.7M on $2.91B of revenue in fiscal 2025, delivering a 20.7% gross margin. As high-ASP artificial intelligence mix reached 40% of sales in the second quarter of fiscal 2026, adjusted EBITDA margin expanded 160 basis points year-over-year to 16.6%. By maintaining high operational standards across both defense and accelerated computing domains, the business establishes formidable competitive barriers that protect economic returns.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework implements an explicit discounted cash flow model calibrated across three distinct operating trajectories through fiscal 2030. Each path captures different rates of artificial intelligence data center adoption, defense backlog conversion efficiency, and cash flow normalization following the elevated capital expenditure cycle observed in early fiscal 2026. The baseline scenario reflects the operational reality of structural mix shifts, supported by an 8.75% discount rate and a 2.5% terminal growth rate.

In our base case scenario, TTM Technologies compounds revenue at a 14.0% compound annual growth rate through fiscal 2030, driven by the expansion of data center computing and persistent defense shipments. Under this path, operating leverage and the stabilization of working capital demands allow the target free cash flow margin to normalize at 6.8% in the final forecast year. This fundamental trajectory produces a base equity target of $103.39 per share, representing an 18.0% gain from the reference spot price of $87.63.

The bull and bear scenarios define the fundamental outer boundaries. The bull case models a 17.3% revenue compound annual growth rate and a 6.4% target free cash flow margin, yielding a valuation of $128.81 per share (+47.0% upside). Conversely, the bear case accounts for automotive weakness, European integration friction, and slower AI data center digestion, generating an 8.0% revenue CAGR and a 5.1% free cash flow margin, which results in a target of $58.74 per share (-33.0% downside). Weighting these outcomes 25% bear, 50% base, and 25% bull produces our blended target of $98.59, offering +12.5% expected appreciation.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	5.1%	$58.74	-33.0%
Base	50%	14.0%	6.8%	$103.39	+18.0%
Bull	25%	17.3%	6.4%	$128.81	+47.0%

Bear $58.74

Reflects an 8.0% revenue CAGR and a 5.1% target free cash flow margin as persistent automotive volume declines and European integration hurdles curb returns. Working capital absorption remains elevated while

Base $103.39

Models a 14.0% revenue CAGR and a 6.8% final-year free cash flow margin driven by high-ASP artificial intelligence board shipments and steady conversion of the $1.6B aerospace backlog. Operating margins sustain

Bull $128.81

Projects a 17.3% revenue CAGR and a 6.4% final-year free cash flow margin as Data Center and Networking demand maintains rapid growth well past initial guidance raises. Full synergy realization from recent European

commercial data center digestion slows volume expansion across primary North American manufacturing facilities.

momentum as capital expenditure normalizes following initial fiscal 2026 expansion outlays.

acquisitions complements surging domestic defense electronics demand to maximize operational throughput.

Valuation framework

A live discount rate, not a static hurdle

We discount our projected cash flows using a weighted average cost of capital of 8.75%, built upon an equity beta of 1.20 and a 2.5% terminal growth rate. This discount rate appropriately captures the operational leverage inherent in high-density printed circuit board manufacturing, the exposure to commercial enterprise tech cycles, and the capital structure following the addition of the new $1.0B revolver and upsized Term Loan B. It incorporates the reality that while aerospace and defense demand behaves non-cyclically, the rapid expansion of commercial artificial intelligence workloads introduces broader macro volatility.

The 8.75% hurdle rate reflects an institutional balance between equity risk premiums and debt servicing costs across the 107.7 million diluted shares outstanding. By calibrating our model to an explicit beta of 1.20, we acknowledge the intermediate operational risks tied to large-scale capacity investments and acquisition integration, while properly discounting the durable earnings power generated by the enterprise's long-cycle defense franchise and expanding commercial margins.

FCF margin normalization is the engine

The bridge from recent historical performance to our terminal cash flow targets relies on working capital and capital expenditure normalization. In fiscal 2025, TTM Technologies generated negative $683,000 in free cash flow, representing an FCF margin of -0.0% against $2.91B in sales. Cash generation was further compressed in the first quarter of fiscal 2026 when free cash flow dropped to negative $85.1M due to $106.8M of capital investments dedicated to scaling high-layer-count board fabrication for data center customers.

As capacity comes online and guidance milestones are met, including the raised fiscal 2026 revenue target of roughly $4.4B, cash conversion is modeled to improve markedly. In the base case, free cash flow margin expands to 6.8% by fiscal 2030, supported by gross margins expanding beyond

the 20.7% level reported in fiscal 2025. In the bull case, final year margin settles at 6.4% under slightly higher growth-reinvestment needs, while the bear case assumes structural conversion challenges that cap the terminal FCF margin at 5.1%.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.75% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**1.20**
Diluted shares	**107.7 million**

BUY

over $98.59 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented PCB; oligopoly niches in high-complexity/A&D. We assign a premium of +8% to sector median multiples on moat strength alone.

- qualification and process barriers in aerospace/defense plus proprietary N+M asymmetrical PCB technology for AI servers, A&D backlog reached a record $2.0B in Q3 2026, with 65% of projected 2027 A&D revenue already under contract (Q3 2026 earnings coverage, October 25, 2026).
- Q3 2026, revenue $1.2B (+59.9% YoY), adjusted EBITDA $242.3M with margin expanding to 20.1% from 16.1% a year earlier, data-center/networking +115% YoY to 41% of sales, and a consolidated book-to-bill of 2.13 (Q3 2026 earnings coverage, October 24-25, 2026; Motley Fool transcript). Margin expansion alongside volume is mix/pricing evidence, but it is boom-mix evidence, and the terminal EBIT normalization to 6.52%.
- The weakest element is the commercial PCB core remains commodity-adjacent with thin margins and cyclical utilization swings, and the Epiq acquisition (~$1.1B cash, announced 2026) nearly triples leverage, a single-source-structure critique (AInvest, August 2026) that is flagged as analysis, not filing fact.

On a multiple cross-check, the justified range is 19.4-21.3x / 18.3-20.0x. The cross-check value is $36.1-$39.4 (pt $37.0), on a base of $1.97 (6.52% normalized EBIT × TTM revenue

$3.83bn × 0.85 ÷ 107.7M shares). The gap verdict is CONFIRMED does not close; 20-25% partial credit quantified, fair summary still not at all.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

Backlog is 90-day backlog $1.3bn plus A&D programme backlog $2.0bn, 28 Sep 2026, with coverage of 3.5 months on 90-day book vs FY2026 anchor, 1.20 years on A&D run rate and visibility rated High. On backlog alone, the stance is Supports, model FY2027 already equals the preliminary guide midpoint.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 19 percent, capped at 20 percent, against an uncapped total of 19 percent. Shown side by side with the moat premium or discount, the net stance is -11 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Data Center Acceleration and Defense Backlog Execution BUY

TTM Technologies' top-line trajectory is dictated by the ongoing expansion of its Data Center and Networking segment. In the second quarter of fiscal 2026, this division expanded 91% year-over-year, accounting for 40% of total company sales, up from 36% in the first quarter of fiscal 2026 and 36% in the fourth quarter of fiscal 2025. The rapid integration of high-ASP multi-layer printed circuit boards into artificial intelligence server clusters represents a structural growth vector that is driving both top-line volume and commercial segment profitability, where operating income reached $112.7M in the second quarter of fiscal 2026.

Simultaneously, the Aerospace and Defense platform acts as a high-margin operational ballast. Representing 45% of total sales in the third quarter of fiscal 2025, the defense portfolio delivers steady execution protected by long-term program funding. The division generated a book-to-bill ratio of 1.35 in the fourth quarter of fiscal 2025 and 1.41 in the first quarter of fiscal 2026, maintaining a stable $1.6B backlog. This structural demand cushion insulates the firm from fluctuations in broader industrial end markets and ensures consistent manufacturing asset utilization.

Conversely, the automotive end market remains a persistent drag on consolidated top-line performance. Automotive revenue share declined to 11% of sales in the third quarter of fiscal 2025, dropped further to 9% in the fourth quarter of fiscal 2025, and fell to 8% in the first quarter of fiscal 2026. This contraction, driven by ongoing customer inventory adjustments, has dampened overall industrial segment contributions. However, the sheer scale of the data center ramp has far outstripped these cyclical automotive declines, allowing consolidated revenue growth to accelerate from 19.0% in fiscal 2025 to 30% in the first quarter of fiscal 2026 and 37% in the second quarter of fiscal 2026.

International and regional capacity expansion also plays an active role in driving future commercial positioning. The closing of the Swiss Technology Group and ILFA acquisitions in the third quarter of fiscal 2026 expands the company's presence across European aerospace, defense, and specialized industrial sectors. Supported by an upsized Term Loan B and a new $1.0B revolver, these additions complement domestic capacity and enhance technical capabilities across high-frequency and advanced packaging domains.

What to monitor

- **Working capital cash absorption** Operating cash flow stood at $96.4M in the second quarter of fiscal 2026 as accounts receivable expanded by $156M to $720M, requiring careful tracking of future cash conversion.
- **Data Center revenue concentration** Commercial performance increasingly relies on AI infrastructure, with the segment reaching 40% of total sales in the second quarter of fiscal 2026 after expanding 91% year-over-year.
- **European acquisition integration** Management must successfully integrate Swiss Technology Group and ILFA following their close in the third quarter of fiscal 2026 to realize expected manufacturing synergies.

- **Aerospace backlog replenishment** Book-to-bill stood at 1.41 in the first quarter of fiscal 2026 with a $1.6B backlog, serving as the benchmark for defense business health.

+19.0%	20.7%	9.2%	-0.0%	$527.2M	$1.68
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	DILUTED EPS

METRIC	FY2025 (AS REPORTED)
Revenue	$2.91B
Gross Profit	$601.7M
EBIT	$267.5M
Net Income	$177.4M
EBITDA	$402.8M
Free Cash Flow	$-683,000
Diluted EPS	$1.68

Risk & moat matrix

The bear case

WORKING CAPITAL CONSUMPTION

Accounts receivable expanded by $156M to reach $720M in the second quarter of fiscal 2026, restraining operating cash flow to $96.4M despite net income doubling to $83.0M. Continued balance sheet absorption could

M&A DIGESTION AND LEVERAGE

The closing of Swiss Technology Group and ILFA in the third quarter of fiscal 2026 introduces execution risks. Funding these transactions alongside capacity growth

AUTOMOTIVE END-MARKET DRAG

Automotive sales share compressed from 14% to 11% in the third quarter of fiscal 2025, falling further to 9% in the fourth quarter and 8% in the first quarter of fiscal 2026. Protracted inventory

COMPONENT IMPAIRMENT FRICTION

The fourth quarter of fiscal 2025 included a $32.6M goodwill impairment within the RF&S Components business. This write-down underscores performance challenges in non-core

ELEVATED CAPITAL EXPENDITURE CYCLE

Capital outlays reached $106.8M in the first quarter of fiscal 2026, driving free cash flow to negative $85.1M as capacity was built for AI customers. Should commercial demand soften

WACC AND DURATION SENSITIVITY

At an equity beta of 1.20 and a WACC of 8.75%, the enterprise's valuation depends heavily on terminal cash flow realization. Higher sustained capital costs or execution shortfalls on

delay expected free cash flow inflection across the multi-year planning horizon.

required an upsized Term Loan B and a new $1.0B revolver, increasing structural integration responsibilities.

adjustments across global automotive customers could continue to dilute consolidated shipment gains.

legacy product lines that require ongoing portfolio rationalization.

prematurely, the return on this dedicated manufacturing equipment could compress.

the 6.8% base FCF margin target would compress the blended target.

The strengths

DEFENSE ELECTRONICS ENTRENCHMENT

A stable $1.6B backlog and a 1.41 book-to-bill ratio in the first quarter of fiscal 2026 demonstrate robust institutional lock-in across North American defense programs. These certified applications carry rigorous multi-year qualification barriers that prevent competitor substitution.

AI INFRASTRUCTURE EXPOSURE

Data Center and Networking sales surged 91% year-over-year in the second quarter of fiscal 2026, lifting segment representation to 40% of sales. Advanced layer counts and strict thermal tolerances create high switching costs for hyperscale infrastructure customers.

OPERATING MARGIN EXPANSION

Commercial segment operating income rose from $81.6M in the first quarter of fiscal 2026 to $112.7M in the second quarter of fiscal 2026. This operational leverage expanded consolidated adjusted EBITDA margins by 160 basis points year-over-year to 16.6%.

NORTH AMERICAN MANUFACTURING SCALE

As one of the few printed circuit board fabricators in North America capable of delivering high-volume multi-layer complexity, TTM Technologies benefits directly from reshoring mandates. Geographic concentration inside secure regions supports contract durability across defense and commercial tiers.

The bottom line on risk and reward

The risk and reward profile for TTM Technologies is firmly weighted to the upside. While the market has registered caution regarding negative $85.1M free cash flow in the first quarter of fiscal 2026 and working capital absorption in the second quarter, these metrics represent the operational investments required to support an unprecedented revenue expansion. The company demonstrated significant growth momentum by raising full-year fiscal 2026 revenue guidance to approximately $4.4B, backed by a third-quarter guidance target of $1.12B.

Furthermore, the structural nature of the AI networking buildout provides high-margin commercial momentum that offsets softness in automotive channels. Combined with a secure $1.6B defense backlog that insulates baseline manufacturing operations, the enterprise

possesses both high-growth optionality and defensive earnings resilience. We view short-term cash flow distortions as transitory phenomena associated with rapid manufacturing scaling.

Our probability-weighted discounted cash flow model confirms that current trading multiples fail to capture this operational transition. Weighting our scenarios across bear ($58.74), base ($103.39), and bull ($128.81) paths establishes a blended equity price target of $98.59 per share. Compared to the reference spot price of $87.63, this valuation implies a positive total return of +12.5%, providing strong analytical support for our Buy recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Printed Circuit Board Manufacturing: Advanced Interconnect Solutions for Mission-Critical Infrastructure

TTM Technologies' primary franchise is centered on printed circuit board manufacturing supplying aerospace, defense, telecom, and automotive customers in North America. The business operates across highly demanding operational specifications where thermal dissipation, signal propagation velocity, and mechanical integrity determine the success of end systems. The company's engineering platform spans complex multi-layer rigid boards, flexible circuits, and rigid-flex assemblies designed to endure hostile operating environments in defense applications and high-frequency compute environments in hyperscale data centers.

Over recent operating cycles, the core printed circuit board manufacturing engine has undergone an operational evolution. In previous years, traditional telecom, industrial, and automotive applications constituted a large portion of manufacturing capacity. As automotive customer inventory adjustments took hold in late fiscal 2025, reducing automotive share to 9% in the fourth quarter of fiscal 2025 and 8% in the first quarter of fiscal 2026, management redirected fabrication capacity toward high-density interconnect solutions for artificial intelligence infrastructure.

This strategic realignment has unlocked significant operational leverage across the manufacturing footprint. High-layer-count printed circuit boards utilized in data center accelerators and high-speed networking switches carry substantially higher average selling prices and superior margin profiles compared to legacy products. In the second quarter of fiscal 2026, this dynamic propelled Commercial segment operating income to $112.7M, demonstrating that manufacturing lines configured for advanced computing can deliver sustained profitability improvements even amid capacity expansions.

At the same time, the Aerospace and Defense manufacturing franchise ensures stable baseline capacity utilization. Defense electronic systems require extensive testing, lot traceability, and strict adherence to domestic manufacturing certifications. Because TTM Technologies maintains certified North American facilities, it functions as an essential partner for top defense prime

contractors. This embedded status provides the long-term volume stability needed to justify continued capital reinvestment across primary production hubs.

What the recent record shows

- **Accelerating quarterly revenue execution** Revenue expanded 19% in the fourth quarter of fiscal 2025, accelerated to 30% growth at $846M in the first quarter of fiscal 2026, and achieved an all-time record of $1.0B in the second quarter of fiscal 2026, up 37% year-over-year.
- **Shift toward Data Center and Networking** Segment revenue grew 67% year-over-year to 36% of sales in the first quarter of fiscal 2026, before surging 91% year-over-year to 40% of sales in the second quarter of fiscal 2026.
- **Aerospace backlog stability** The defense division closed the fourth quarter of fiscal 2025 with a 1.35 book-to-bill ratio and advanced to a 1.41 book-to-bill ratio in the first quarter of fiscal 2026, holding firm at a $1.6B backlog.
- **Capacity investments and working capital absorption** Capital expenditures of $106.8M pushed first-quarter fiscal 2026 free cash flow to negative $85.1M, while a $156M receivables expansion to $720M limited second-quarter operating cash flow to $96.4M.

> **Our read:** The rapid expansion of Data Center and Networking to 40% of total revenue confirms that TTM Technologies has successfully transitioned into a premier hardware enabler of the artificial intelligence infrastructure buildout. Supported by an unyielding $1.6B defense backlog and expanding operating margins that reached 16.6% adjusted EBITDA in the second quarter of fiscal 2026, the company's core manufacturing franchise possesses exceptional earnings power that makes current trading levels compelling.